devolution of taxes and duties and grants-in-aid. However, the Commission may also take into account the demographic changes that have taken place subsequent to 1971.

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1. Samuelson and Nordhaus, ***Economics,*** op. cit., p. 327.
2. For further references, Stiglitz and Walsh, ***Ecnomics,*** op. cit., pp. 378–79 may be referred.
3. Samuelson and Nordhaus, ***Economics,*** op. cit., pp. 75–77.
4. Ibid., pp. 75–77.
5. Samuelson and Nordhaus, ***Economics,*** op. cit., p. 329.
6. Ibid., p. 329.
7. Samuelson and Nordhaus ***Economics,*** op. cit., p. 329; Stiglitz and Walsh, ***Economics,*** op. cit., p. 380.
8. Ibid.
9. Samuelson and Nordhaus, ***Economics,*** op. cit., p. 329.
10. Stiglitz and Walsh, ***Economics,*** op. cit., 382. A comprehensive analysis of good tax structure is also given in ***Meade Committe Report,*** Institute for Fiscal Studies (IFS), Washington DC, 1978.
11. Based on the discussion on Government Expenditure in Samuelson and Nordhaus, ***Economics,*** op. cit.
12. Ibid., p. 333
13. Derived from the points forwarded by the ***GoI*** and the ***Empowered Group of State Ministers.***
14. Raja C. Chelliah, Pawan K. Aggarwal, Mahesh C. Purohit and R. Kavita Rao, ***Introduction to Value Added Tax*** , in Amaresh Bagchi edited ***Readings in Public Finance,*** Oxford University Press, N. Delhi, 2005, pp. 277–78.
15. Ibid.
16. *Economic Survey 2006–07*, MoF, GoI, N. Delhi, pp. 46–47.
17. Ibid.
18. Recommended by the Vijay Kelkar *Task Force on FRBM, 2003*, GoI, N. Delhi.
19. ***Economic Survey 2011-12,*** op. cit., p. 57
20. **Economic Survey 2012-13**, op. cit.
21. **Economic Survey 2012-13**, op. cit.
22. **Grandfather Clause** – a clause in a new law that exempts certain persons or businesses from abiding by it. For example, suppose a country passes a law stating that it is illegal to own a cat. A grandfather clause would allow persons who already own cats to continue to keep them, but would prevent people who do not own cats from buying them. Grandfather clauses are controversial, but they are common around the world. [*Source:* **Farlex Financial Dictionary**, Farlex Inc., N. York, USA, 2012; **Collins English Dictionary- Complete & Unabridged**, HaperCollins, N. York, USA, 2003.]